Priced as Inflation

S&P −0.79%. Gold and Bitcoin sold with equities while crude climbed — the Hormuz escalation traded as a rate event, not a fear event. Dividend Strategy +0.36%.

THE SESSION

The most instructive number Monday was not the S&P's decline. It was gold's. The U.S. and Iran exchanged strikes through the weekend, Tehran declared the Strait of Hormuz closed, and the President announced a reinstated naval blockade of Iranian shipping alongside a proposed 20% levy on all cargo transiting the waterway. Crude answered as expected: Brent moved above $82. Gold did not. Bullion fell 2.59% to $4,007, and Bitcoin fell 2.47% to $62,173. Both of the assets an investor might reasonably expect to bid on a shooting-war headline were sold instead.

That is the tell. The market did not read the Hormuz escalation as a fear event. It read it as an inflation event — and inflation, with June CPI landing Tuesday morning and Chair Warsh's first monetary policy testimony ninety minutes behind it, means one thing to this Fed. Futures now assign roughly two-thirds odds to a September rate increase. Higher-for-longer sells duration, and duration is what gold, Bitcoin, and long-dated technology multiples all are.

The S&P closed at 7,515.90, off 0.79%. The Nasdaq gave up 1.53%. But the composition matters far more than the header: only information technology carried real weight to the downside, the equal-weight index finished higher, and advancers outnumbered decliners on both exchanges. Energy led all sectors. This was a rotation, not a retreat — the money that left the chip complex did not leave the market. It went to work in barrels, pipelines, steel, and payrolls.

Semiconductors did the damage. SK Hynix, four sessions removed from a celebrated Nasdaq debut, posted its steepest single-day decline on record in Seoul after a brokerage trimmed its quarterly profit estimate on capped premium-memory pricing. The Philadelphia semiconductor index fell 3.7% and now sits more than 14% below its late-June high. The AI trade did not break on Monday; it was repriced by a rate curve that no longer cooperates with a 60-times multiple.

FCI Tactical: A portfolio built to own the physical world was designed for exactly this session. Crude, midstream, steel, nuclear generation, and fertilizer all worked while the market's most crowded trade was marked down. We did not need to predict Hormuz. We needed to already own the cash flows on the other side of it.

FCI HOLDINGS: NOTABLE MOVERS

WINNERS

ADP +3.77% — DIVIDEND STRATEGY

RBC framed a modest fiscal Q4 beat ahead of the July 29 print. The stock has trailed badly over the past year; Monday it was the best performer in the sleeve.

NTR +3.32% — DIVIDEND STRATEGY

Fertilizer economics run on natural gas and shipping lanes. Both repriced higher. Closed at $67.60.

NOW +3.30% — GROWTH PORTFOLIO

The other side of the chip trade. Capital rotating out of semiconductors continues to find beaten-down enterprise software. Q2 results July 22.

CVX +3.29% — GROWTH PORTFOLIO

Brent above $82 and a Wolfe Research upgrade to Outperform with a $210 target, citing free-cash-flow visibility that now extends beyond 2030.

OKE +2.52% — GROWTH PORTFOLIO

Midstream is the toll booth on domestic molecules. When seaborne supply is in question, the pipe that doesn't cross Hormuz gets bid.

STLD +2.50% — DIVIDEND STRATEGY

Domestic steel with domestic inputs. Energy-cost inflation is a headwind for competitors who import.

CEG +2.46% — DIVIDEND STRATEGY

Nuclear generation is the one power source indifferent to a strait. Closed at $257.57.

SSNC +2.16% — DIVIDEND STRATEGY

Financial-technology services caught the same rotation bid as the broader software complex.

DECLINERS

CRDO –8.11% — GROWTH PORTFOLIO

The highest-beta name in the AI connectivity complex takes the sharpest markdown when the multiple compresses. Closed at $236.88.

MRVL –7.75% — GROWTH PORTFOLIO

Custom silicon sold with the group. Nothing company-specific; the entire connectivity and HBM chain was repriced against a hawkish rate path.

LRCX –5.83% DIVIDEND STRATEGY

Memory capital equipment is levered directly to SK Hynix and Micron capex plans. The brokerage cut to Hynix's quarter hit the tools first.

NXPI –4.75% GROWTH PORTFOLIO

Analog and automotive semis were not spared in a sector-wide de-rating.

AMD –4.21% GROWTH PORTFOLIO

TSMC revenue topped forecasts on AI strength — and the stock fell anyway. When good news doesn't work, positioning is the story.

NVDA –3.52% GROWTH PORTFOLIO

Closed at $203.53, giving back Friday's advance. Retail flows have turned net sellers of the megacap chip complex.

TSM –2.89% GROWTH PORTFOLIO

Foundry followed the sector lower despite a revenue beat, ahead of its own results later this week.

IBIT –2.79% DIGITAL ASSET ETF

Bitcoin closed at $62,173. In a war headline, it traded as a rate asset, not a haven.

AEM –2.29% GROWTH PORTFOLIO

Gold miners followed bullion down 2.59%. The safe-haven bid never arrived.

HOLDINGS NEWS

Chevron upgraded at Wolfe Research. Outperform, $210 price target. The thesis rests on newly secured incremental production options that extend free-cash-flow growth visibility past 2030, with the Hess integration already carrying U.S. output above two million barrels a day. Separately, Chevron and Exxon are together expected to report roughly $25.8 billion in adjusted net income for the second quarter — more than triple the first quarter — as both crude and refining margins widen.

Fastenal reports Tuesday before the bell. Consensus sits at $0.33 per share on approximately $2.34 billion of revenue, implying roughly 12.6% year-over-year sales growth. FAST closed +1.20% at $47.05 into the print. This is the first read on industrial distribution demand for the quarter and the read-across matters for PCAR, CAT, and STLD.

Lockheed Martin deepens its NATO position. The company expanded its Europe PAC-3 role and a Germany ATACMS venture. Notably, defense did not rally on Monday's escalation — LMT closed −0.49% and GD −0.61%. The primes have been carrying a war premium for months; the incremental headline no longer moves them. Earnings, not escalation, will be the next catalyst.

ADP: RBC sees a modest fiscal Q4 beat. Results arrive July 29. Consensus looks for $2.59 per share, up roughly 15% year over year, against a stock that has underperformed the index badly over the trailing twelve months. Monday's 3.77% advance was the sleeve's best.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY ✓ BEAT ONE

+0.36%

vs. DVY +0.65% | SPY –0.77%

GROWTH PORTFOLIO ✗ TRAIL

–1.75%

vs. IUSG –1.45%

YEAR-TO-DATE
Dividend +17.47% vs DVY +15.49% / SPY +10.44%
Growth +17.30% vs IUSG +11.40%

The Dividend Strategy gained 0.36% on a day the S&P lost 0.79% — a 113-basis-point spread against the broad market, though it trailed DVY's +0.65%. The Growth Portfolio fell 1.75% against IUSG's −1.45%, the cost of owning the semiconductor complex on a day it was marked down as a group.

Year to date the picture is unchanged and it is the one that matters: Dividend Strategy +17.47% against DVY's +15.49% and SPY's +10.44%. Growth Portfolio +17.30% against IUSG's +11.40% — a 590-basis-point lead that a single hard session in chips does not disturb. Both sleeves are ahead of their benchmarks by wide margins with half the year gone.